

Sandisk Corporation

F4Q26 preview: Supply/demand imbalance persists, pricing strong; PO to \$2500

Reiterate Rating: BUY | PO: 2,500.00 USD | Price: 2,273.73 USD

Estimates move higher on pricing benefit

We expect supply/demand imbalance in the NAND market to remain through C27 and expect pricing to remain strong for longer (through mid-2027), albeit growing at a lower q/q percentage rate over time. For the June quarter, we model bit growth of 13% q/q and ASP growth of 35% q/q. This is higher than the NAND bit growth reported recently by competitor Micron Technology (ticker: MU), but lower than the q/q ASP growth reported by that company. The level of price increase that SNDK sees will be determined by mix and by other factors such as the level of NBM contracts that are signed in the quarter (pricing for these are fixed in the near-term, but more variable in the longer-term). Our F4Q26 rev/EPs are \$9.1bn/\$37.01 vs. Street at \$8.35bn/\$34.26 and guidance of \$7.75-\$8.25bn/\$30.00-\$33.00. Our F1Q27 rev/EPs are \$11.5bn/\$48.55 vs. Street at \$10.4bn/\$43.22. We expect mgmt. to guide F1Q27 revs to \$11.25-\$11.75bn, GM of 84-86% (we are at 84.9%) and EPS to \$47-\$50. Reit Buy on valuation, beneficial joint venture partnership, share gains, and long-term potential for industry consolidation.

What percent of annual rev could end up under NBMs?

About 15% of revenue for SNDK is from consumer end markets and we expect lower propensity of customers in that segment to sign long-term agreements. We expect a majority of cloud and client segment customers to eventually sign these agreements which we view as a win-win for the industry (customers get assured supply and some level of lock-in on NAND price, while SNDK gets better visibility).

NBMs provide long-term visibility

Some clients have expressed concern on long-term sustainability of memory demand if AI driven purchases are lower than expected. We like that fact that SNDK is locking-in an increasing portion of its business under NBMs which offer visibility past F28. The NBMs have been structured so that gross margin can stay in the target range. Another concern is the rapid ramp of China based competitor YMTC (Yangtze Memory Technologies Co. Ltd.) and impact on NAND pricing from additional supply coming into the market. However, we expect YMTC to focus on supplying customers in China.

Adjusting estimates; PO to \$2500

Our F26 revenue/EPs move to \$20.4bn/\$68.89 from \$20.3bn/\$68.56. Our PO moves to \$2500 (from \$2100) on 10x (unchanged) C27 EPS of \$252 (prior \$199).

Estimates (Jun) (US\$)	2024A	2025A	2026E	2027E	2028E
EPS	0	3.02	68.89	233.07	254.24
EPS Change (YoY)	NA	NA	NM	238.3%	9.1%
Consensus EPS (Bloomberg)			65.69	194.76	209.23
Consensus EPS (Visible Alpha)			65.87	191.78	198.63

Valuation (Jun)					
P/E	NA	752.9x	33.0x	9.8x	8.9x
EV / EBITDA*	NM	391.1x	25.4x	7.3x	6.6x
Free Cash Flow Yield*	-0.1%	0%	2.3%	9.1%	11.0%

* For full definitions of IQmethodSM measures, see page 6.

01 July 2026

Equity

Key Changes

(US\$)	Previous	Current
Price Obj.	2,100.00	2,500.00
2026E Rev (m)	20,280.9	20,361.3
2027E Rev (m)	44,398.1	53,422.6
2028E Rev (m)	51,100.0	57,483.8
2026E EPS	68.56	68.89
2027E EPS	187.65	233.07
2028E EPS	222.06	254.24

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Stock Data

Price	2,273.73 USD
Price Objective	2,500.00 USD
Date Established	30-Jun-2026
Investment Opinion	C-1-9
52-Week Range	40.10 USD - 2,354.39 USD
Mkt Val (mn) / Shares Out (mn)	336,716 USD / 148.1
Free Float	98.7%
Average Daily Value (mn)	26172.43 USD
BofA Ticker / Exchange	SNDK / NAS
Bloomberg / Reuters	SNDK US / SNDK.OQ
ROE (2026E)	76.0%
Net Dbt to Eqty (Jun-2025A)	4.0%

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AI: Artificial Intelligence, NBM: New Business Model, ASP: Average Sell Price, GM: Gross Margin

iQprofileSM Sandisk Corporation

iQmethodSM – Bus Performance*

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Return on Capital Employed	-2.4%	4.6%	67.6%	93.8%	50.9%
Return on Equity	0%	4.3%	76.0%	96.8%	51.6%
Operating Margin	-4.7%	9.4%	61.0%	80.6%	82.2%
Free Cash Flow	(475)	(119)	7,848	30,479	37,204

iQmethodSM – Quality of Earnings*

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Cash Realization Ratio	NA	0.2x	0.8x	0.9x	1.0x
Asset Replacement Ratio	0.7x	1.2x	0.9x	0.8x	0.8x
Tax Rate	NM	24.1%	13.4%	14.0%	14.0%
Net Debt-to-Equity Ratio	-3.0%	4.0%	-38.0%	-65.5%	-75.0%
Interest Cover	NA	NA	NA	NA	NA

Income Statement Data (Jun)

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Sales	6,663	7,355	20,361	53,423	57,484
% Change	9.5%	10.4%	176.8%	162.4%	7.6%
Gross Profit	1,056	2,228	14,385	46,583	50,310
% Change	135.2%	111.0%	545.7%	223.8%	8.0%
EBITDA	(86)	846	13,039	45,460	49,841
% Change	84.9%	NM	NM	248.6%	9.6%
Net Interest & Other Income	(37)	(109)	(99)	(80)	(80)
Net Income (Adjusted)	0	440	10,668	36,959	40,570
% Change	NA	NA	NM	246.4%	9.8%

Free Cash Flow Data (Jun)

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Net Income from Cont Operations (GAAP)	(503)	440	10,669	36,959	40,570
Depreciation & Amortization	224	164	521	2,404	2,587
Change in Working Capital	(86)	(380)	(3,066)	(8,046)	(5,074)
Deferred Taxation Charge	(16)	(12)	(42)	0	0
Other Adjustments, Net	72	(127)	217	1,032	1,134
Capital Expenditure	(166)	(204)	(452)	(1,870)	(2,012)
Free Cash Flow	-475	-119	7,848	30,479	37,204
% Change	49.0%	74.9%	NM	288.4%	22.1%
Share / Issue Repurchase	0	5	24	0	0
Cost of Dividends Paid	0	0	0	0	0
Change in Debt	(258)	0	0	0	0

Balance Sheet Data (Jun)

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Cash & Equivalents	328	1,481	7,165	37,654	74,859
Trade Receivables	935	1,068	4,418	10,475	12,331
Other Current Assets	2,285	2,537	3,378	4,892	8,072
Property, Plant & Equipment	791	619	649	649	649
Other Non-Current Assets	9,167	7,280	5,906	5,896	5,896
Total Assets	13,506	12,985	21,515	59,566	101,806
Short-Term Debt	0	20	0	0	0
Other Current Liabilities	2,123	1,407	1,295	821	782
Long-Term Debt	0	1,829	0	0	0
Other Non-Current Liabilities	301	513	1,356	1,256	1,156
Total Liabilities	2,424	3,769	2,651	2,077	1,938
Total Equity	11,082	9,216	18,863	57,489	99,868
Total Equity & Liabilities	13,506	12,985	21,515	59,566	101,806

* For full definitions of iQmethodSM measures, see page 6.

Company Sector

IT Hardware

Company Description

Sandisk (SNDK) is a leading developer, manufacturer and provider of data storage devices and solutions based on NAND flash technology. SNDK has a growing solid state drive and storage systems portfolio, and is currently the third largest enterprise SSD manufacturer.

Investment Rationale

We rate SNDK Buy. We expect long-term growth in demand for data storage using NAND, mainly driven by generative AI & eSSD share gains / demand in the data center.

Stock Data

Average Daily Volume 11,510,789

Quarterly Earnings Estimates

	2025	2026
Q1	1.80A	1.22A
Q2	1.23A	6.20A
Q3	-0.30A	23.41A
Q4	0.29A	37.01E



BofA vs Street estimates

Figure 1: Our estimates are higher vs. Street for both F4Q26 and F1Q27

SNDK BofA vs Street (\$ in mn)

SNDK Preview Tables				4QFY-2026			1QFY-2027		
	BofA	Street	Delta	Guide	3QFY-2026	Chg Q/Q	BofA	Street	Delta
Revenue	\$9,078	\$8,347	\$731	\$7750 to \$8250	\$5,950	52.6%	\$11,484	\$10,402	\$1,082
Cost of revenue - Operating	\$1,596	\$1,570	\$26		\$1,284	24.3%	\$1,738	\$1,786	-\$48
Gross profit/(loss) - Operating	\$7,482	\$6,784	\$699		\$4,666	60.4%	\$9,746	\$8,578	\$1,168
Research and development expense - Operating	\$475	\$356	\$119		\$317	49.7%	\$577	\$378	\$199
Selling, general and administrative - Operating	\$190	\$173	\$17		\$131	45.0%	\$217	\$186	\$31
Total operating expenses - Operating	\$664	\$529	\$136	\$480 to \$500	\$448	48.3%	\$795	\$564	\$231
Operating income/(loss) - Operating	\$6,818	\$6,277	\$541		\$4,218	61.6%	\$8,951	\$8,037	\$914
EBITDA - Operating	\$7,226	\$6,376	\$850		\$4,257	69.8%	\$9,468	\$8,278	\$1,190
Total interest and other income (expense), net - Operating	-\$20	\$13	-\$33	\$10 to \$30	-\$3	566.7%	-\$20	\$11	-\$31
Income/(loss) before taxes - Operating	\$6,798	\$6,290	\$508		\$4,215	61.3%	\$8,931	\$8,048	\$883
Provision/(benefit) for income taxes - Operating	\$952	\$875	\$76	\$775 to \$875	\$540	76.2%	\$1,250	\$1,243	\$7
Net income/(loss) - Operating	\$5,846	\$5,415	\$432		\$3,675	59.1%	\$7,681	\$6,805	\$876
EPS - Diluted - Operating	\$37.01	\$34.26	\$2.75	\$30 to \$33	\$23.41	58.1%	\$48.55	\$43.22	\$5.33

Source: Visible Alpha, BofA Global Research estimates

BofA GLOBAL RESEARCH



Model

Figure 2: We model F27 revenue/EPS of \$53.4bn/\$233, respectively

Revenues in \$mn

SanDisk Corp. (SNDK)

Wamsi Mohan

(\$ Millions Except Per Share Data)

	F2026E				F2027E					F2024	F2025	F2026E	F2027E	F2028E
	9/25	12/25	3/26	6/26E	9/26E	12/26E	3/27E	6/27E						
Total Revenue	\$2,308.0	\$3,025.0	\$5,950.0	\$9,078.3	\$11,484.0	\$13,621.9	\$13,813.1	\$14,503.7		\$6,663.0	\$7,355.0	\$20,361.3	\$53,422.6	\$57,483.8
Cost of Revenue - Non-GAAP	1,617.0	1,479.0	1,284.0	1,596.0	1,738.1	1,780.5	1,662.7	1,658.6		5,607.0	5,127.0	5,976.0	6,839.9	7,174.0
Non-GAAP Gross Profit	691.0	1,546.0	4,666.0	7,482.2	9,745.9	11,841.4	12,150.3	12,845.1		1,056.0	2,228.0	14,385.2	46,582.8	50,309.9
Research and development - Non-GAAP	296.0	307.0	317.0	474.6	577.4	671.2	666.9	685.7		991.0	1,052.0	1,394.6	2,601.2	2,429.3
Selling, general and administrative - Non-GAAP	150.0	106.0	131.0	189.9	217.2	244.1	233.7	230.9		375.0	487.0	576.9	925.8	626.6
Other - Non-GAAP	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	0.0	0.0	0.0
Total OpEx	446.0	413.0	448.0	664.5	794.6	915.3	900.5	916.5		1,366.0	1,539.0	1,971.5	3,527.0	3,055.9
Non-GAAP operating income (excl SBC)	245.0	1,133.0	4,218.0	6,817.8	8,951.3	10,926.1	11,249.8	11,928.6		(310.0)	689.0	12,413.8	43,055.8	47,254.0
Non-GAAP interest and other income (expense), net	(42.0)	(34.0)	(3.0)	(20.0)	(20.0)	(20.0)	(20.0)	(20.0)		(37.0)	(109.0)	(99.0)	(80.0)	(80.0)
Non-GAAP pretax income	203.0	1,099.0	4,215.0	6,797.8	8,931.3	10,906.1	11,229.8	11,908.6		(347.0)	580.0	12,314.8	42,975.8	47,174.0
Non-GAAP income tax expense	22.0	132.0	540.0	951.7	1,250.4	1,526.9	1,572.2	1,667.2		156.0	140.0	1,645.7	6,016.6	6,604.4
Non-GAAP net income (excl SBC)	181.0	967.0	3,675.0	5,846.1	7,680.9	9,379.2	9,657.6	10,241.4		(503.0)	440.0	10,669.1	36,959.1	40,569.6
Non-GAAP EPS	\$1.22	\$6.20	\$23.41	\$37.01	\$48.55	\$59.19	\$60.85	\$64.43		\$3.02	\$68.89	\$233.07	\$233.07	\$254.24
Basic Weighted Average Shares	146.0	147.0	148.0	148.0	148.0	148.0	148.0	148.0		126.3	144.8	147.3	148.0	148.0
Diluted Weighted Average Shares	148.5	156.0	157.0	158.0	158.2	158.5	158.7	159.0		126.8	145.8	154.9	158.6	159.6
% of Revenues														
Non-GAAP Gross Profit	29.9%	51.1%	78.4%	82.4%	84.9%	86.9%	88.0%	88.6%		15.8%	30.3%	70.7%	87.2%	87.5%
Non-GAAP R&D	12.8%	10.1%	5.3%	5.2%	5.0%	4.9%	4.8%	4.7%		14.9%	14.3%	6.8%	4.9%	4.2%
Non-GAAP SG&A	6.5%	3.5%	2.2%	2.1%	1.9%	1.8%	1.7%	1.6%		5.6%	6.6%	2.8%	1.7%	1.1%
Non-GAAP operating income	10.6%	37.5%	70.9%	75.1%	77.9%	80.2%	81.4%	82.2%		(4.7%)	9.4%	61.0%	80.6%	82.2%
Non-GAAP pretax income	8.8%	36.3%	70.8%	74.9%	77.8%	80.1%	81.3%	82.1%		(5.2%)	7.9%	60.5%	80.4%	82.1%
Non-GAAP tax rate	10.8%	12.0%	12.8%	14.0%	14.0%	14.0%	14.0%	14.0%		(45.0%)	24.1%	13.4%	14.0%	14.0%
Non-GAAP net income	7.8%	32.0%	61.8%	64.4%	66.9%	68.9%	69.9%	70.6%		(7.5%)	6.0%	52.4%	69.2%	70.6%
Adjusted EBITDA														
Non-GAAP operating income	245.0	1,133.0	4,218.0	6,817.8	8,951.3	10,926.1	11,249.8	11,928.6		-310.0	689.0	12,413.8	43,055.8	47,254.0
Depreciation and amortization	36.0	38.0	38.0	408.5	516.8	613.0	621.6	652.7		224.0	164.0	520.5	2,404.0	2,586.8
Other Adjustments	10.0	94.0	1.0	0.0	0.0	0.0	0.0	0.0		-1.0	-7.0	105.0	0.0	0.0
Adjusted EBITDA	291.0	1,265.0	4,257.0	7,226.3	9,468.1	11,539.1	11,871.4	12,581.2		-86.0	846.0	13,039.3	45,459.8	49,840.7
Adjusted EBITDA margin	12.6%	41.8%	71.5%	79.6%	82.4%	84.7%	85.9%	86.7%		-1.3%	11.5%	64.0%	85.1%	86.7%
Y/Y Growth														
Revenue	23%	61%	251%	378%	398%	350%	132%	60%		9%	10%	177%	162%	8%
Cost of Revenue - Non-GAAP	40%	17%	(2%)	14%	7%	20%	29%	4%		0%	0%	0%	0%	0%
Non-GAAP gross profit	(6%)	154%	1112%	1390%	1310%	666%	160%	72%		135%	111%	546%	224%	8%
Non-GAAP R&D	13%	19%	20%	79%	95%	119%	110%	44%		(9%)	6%	33%	87%	(7%)
Non-GAAP SG&A	30%	(9%)	11%	39%	45%	130%	78%	22%		1%	30%	18%	60%	(32%)
Non-GAAP operating income	(31%)	386%	210800%	6718%	3554%	864%	167%	75%		(70%)	(322%)	1702%	247%	10%
Non-GAAP pretax income	(38%)	431%	(21175%)	10690%	4300%	892%	166%	75%		(65%)	(267%)	2023%	249%	10%
Non-GAAP net income	(31%)	443%	(8647%)	13819%	4144%	870%	163%	75%		(60%)	(187%)	2325%	246%	10%
Non-GAAP EPS	(32%)	405%	(7993%)	12854%	3883%	855%	160%	74%		NM	NM	2182%	238%	9%
Diluted Shares	2%	8%	8%	7%	7%	2%	1%	1%		19%	15%	6%	2%	1%

Source: Company reports, BofA Global Research estimates

BofA GLOBAL RESEARCH



Price objective basis & risk

Sandisk Corporation (SNDK)

Our PO of \$2500 is based on approximately 10x C27E EPS of \$252 which is in line with SNDK's global memory peers' average due to similar profitability.

Upside risks: 1) we are earlier than expected in the NAND upcycle, 2) stronger than expected expansion in the NAND market on sales of AI enabled consumer products, 3) faster than expected eSSD market share gains, and 4) faster than expected recovery in NAND pricing.

Downside risks: 1) sharp drop in NAND prices due to oversupply, 2) Competition and over expansion from Chinese suppliers such as YMTC, 3) slower than expected adoption of AI enabled consumer products, and 4) share loss in eSSD market.

Analyst Certification

I, Wamsi Mohan, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

US - IT Hardware and Technology Supply Chain Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Amphenol	APH	APH US	Wamsi Mohan
	Apple Inc.	AAPL	AAPL US	Wamsi Mohan
	Celestica Inc.	CLS	CLS US	Ruplu Bhattacharya
	Celestica Inc.	YCLS	CLS CN	Ruplu Bhattacharya
	Corning Inc.	GLW	GLW US	Wamsi Mohan
	Dell Technologies Inc.	DELL	DELL US	Wamsi Mohan
	DigitalOcean	DOCN	DOCN US	Wamsi Mohan
	Flex Ltd.	FLEX	FLEX US	Ruplu Bhattacharya
	Hewlett-Packard Enterprise	HPE	HPE US	Wamsi Mohan
	Ingram Micro Holding Corporation	INGM	INGM US	Ruplu Bhattacharya
	International Business Machines Corp.	IBM	IBM US	Wamsi Mohan
	Jabil Inc.	JBL	JBL US	Ruplu Bhattacharya
	Nutanix Inc	NTNX	NTNX US	Wamsi Mohan
	Sandisk Corporation	SNDK	SNDK US	Wamsi Mohan
	Seagate Technology	STX	STX US	Wamsi Mohan
	TD Synnex Corp	SNX	SNX US	Ruplu Bhattacharya
	TE Connectivity Plc.	TEL	TEL US	Wamsi Mohan
	Western Digital Corporation	WDC	WDC US	Wamsi Mohan
NEUTRAL				
	Arrow Electronics Inc.	ARW	ARW US	Ruplu Bhattacharya
	Avnet Inc.	AVT	AVT US	Ruplu Bhattacharya
	CDW Corp	CDW	CDW US	Ruplu Bhattacharya
	Concentrix Corporation	CNXC	CNXC US	Ruplu Bhattacharya
	Enovix Corporation	ENVX	ENVX US	Ruplu Bhattacharya
	Everpure Inc	P	P US	Wamsi Mohan
	NetApp Inc.	NTAP	NTAP US	Wamsi Mohan
	Sanmina Corporation	SANM	SANM US	Ruplu Bhattacharya
	Sensata Technologies Holdings Plc	ST	ST US	Wamsi Mohan
UNDERPERFORM				
	HP Inc.	HPQ	HPQ US	Wamsi Mohan
	Super Micro Computer Inc.	SMCI	SMCI US	Ruplu Bhattacharya
	Teradata Corporation	TDC	TDC US	Wamsi Mohan
	Vishay Intertechnology, Inc.	VSH	VSH US	Ruplu Bhattacharya



iQmethodSM Measures Definitions

Business Performance

Return On Capital Employed

Return On Equity

Operating Margin

Earnings Growth

Free Cash Flow

Numerator

NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization

Net Income

Operating Profit

Expected 5 Year CAGR From Latest Actual

Cash Flow From Operations – Total Capex

Denominator

Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill

Amortization

Shareholders' Equity

Sales

N/A

N/A

Quality of Earnings

Cash Realization Ratio

Asset Replacement Ratio

Tax Rate

Net Debt-To-Equity Ratio

Interest Cover

Numerator

Cash Flow From Operations

Capex

Tax Charge

Net Debt = Total Debt – Cash & Equivalents

EBIT

Denominator

Net Income

Depreciation

Pre-Tax Income

Total Equity

Interest Expense

Valuation Toolkit

Price / Earnings Ratio

Price / Book Value

Dividend Yield

Free Cash Flow Yield

Enterprise Value / Sales

Numerator

Current Share Price

Current Share Price

Annualised Declared Cash Dividend

Cash Flow From Operations – Total Capex

EV = Current Share Price × Current Shares + Minority Equity + Net Debt +

Other LT Liabilities

Enterprise Value

Denominator

Diluted Earnings Per Share (Basis As Specified)

Shareholders' Equity / Current Basic Shares

Current Share Price

Market Cap = Current Share Price × Current Basic Shares

Sales

Basic EBIT + Depreciation + Amortization

iQmethodSM is the set of BofA Global Research standard measures that serve to maintain global consistency under three broad headings: Business Performance, Quality of Earnings, and valuations. The key features of iQmethod are: A consistently structured, detailed, and transparent methodology. Guidelines to maximize the effectiveness of the comparative valuation process, and to identify some common pitfalls.

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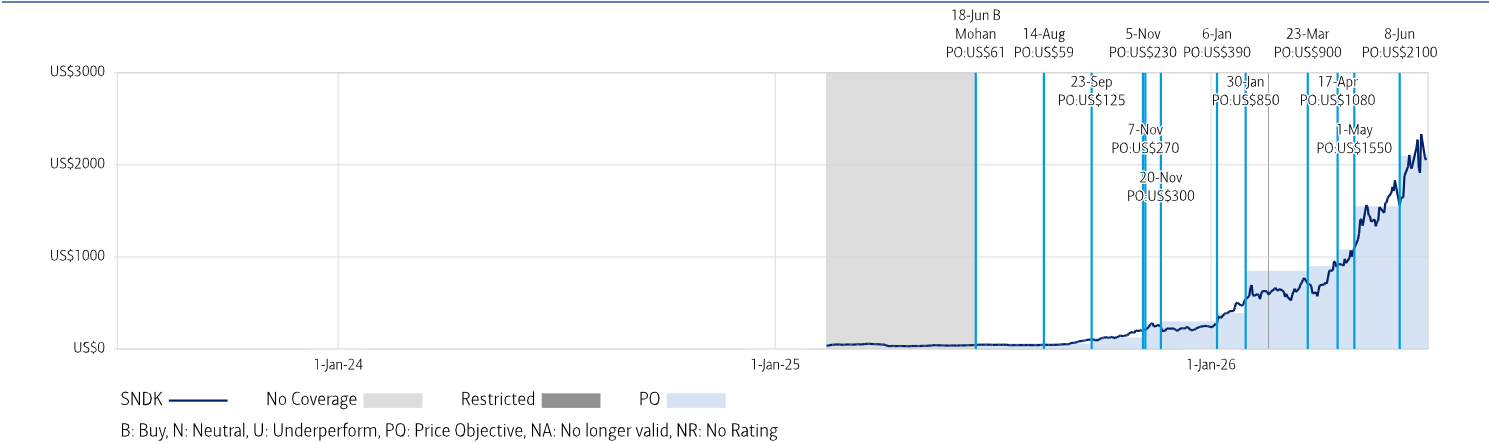
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Sandisk (SNDK) Price Chart



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Equity Investment Rating Distribution: Technology Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	234	58.50%	Buy	123	52.56%
Hold	90	22.50%	Hold	43	47.78%
Sell	76	19.00%	Sell	23	30.26%

Equity Investment Rating Distribution: Global Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1993	55.76%	Buy	1186	59.51%
Hold	821	22.97%	Hold	509	62.00%
Sell	760	21.26%	Sell	400	52.63%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
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Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

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